Samsung Electro-Mechanics (009150.KS)

Earnings Review: 3Q26 OP beat: Earnings growth momentum to continue from stronger AI tailwinds on MLCC and ABF; Buy

009150.KS	12m Price Target: **W2,500,000**	Price: **W1,306,000**	Upside: **91.4%**

BUY

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Samsung Electro-Mechanics (SEMCO) reported 3Q26 revenue of W3.8tn and operating profit of W691bn, where revenue was slightly below GSe of W3.9tn but in-line with the Bloomberg consensus at W3.8tn while OP was both above GSe and consensus of W670bn and W660bn. We believe the OP beat was driven by improved mix of high-value-add MLCCs and FC-BGAs. Reiterate Buy with an updated 12m TP of W2.5mn.

Key takeaways

- **AI-driven MLCC demand to support further ASP upside**: MLCC revenue again demonstrated strong growth (+14% qoq and +38% yoy) driven by strength in all major segments. In particular, SEMCO said that data center MLCCs recorded unprecedented growth, supported by strong demand for AI servers and infrastructure. Notably, the company introduced its 'AI MLCC Law', highlighting that number of dies per AI GPU is expected to double each year, leading to a proportional increase in power consumption and, consequently, doubling of MLCC content required for GPU power delivery. We believe this reflects the company's strong confidence in structural growth outlook for AI-related MLCC demand. Furthermore, we think the increasing contribution from high-value-added products, combined with a favorable S/D environment, enabled the company to maintain strong profitability despite unfavorable F/X conditions. We expect earnings growth to remain solid going forward, hence raise our MLCC OP estimates by 9%/9%/10% for 2026E/2027E/2028E.

- **Tight FC-BGA supply to drive continued ASP growth**: We believe FC-BGA revenue saw strong growth (GSe: +30% qoq and +90% yoy) during the quarter, driven by increasing demand from data center applications, including server CPUs, AI accelerators,

Key Data

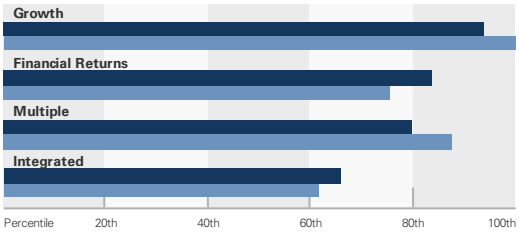
Market cap: W98.7tr / $74.6bn
Enterprise value: W98.9tr / $74.7bn
3m ADTV: W967.4bn / $704.3mn
South Korea
Korea Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (W bn) New	**11,314.5**	**14,399.2**	**20,205.9**	**27,278.4**
Revenue (W bn) Old	11,314.5	14,452.3	19,587.6	26,215.0
EBITDA (W bn)	1,838.0	3,332.1	6,900.6	11,519.8
EPS (W) New	**9,347**	**22,246**	**51,871**	**86,291**
EPS (W) Old	9,347	22,123	50,930	84,378
P/E (X)	17.5	58.7	25.2	15.1
P/B (X)	1.3	9.2	6.8	4.9
Dividend yield (%)	1.5	0.4	1.0	1.7
CROCI (%)	10.5	19.5	22.4	29.8

	9/26	12/26E	3/27E	6/27E
EPS (W)	6,204	8,565	10,118	11,688

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

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Rating since Jul 14, 2017

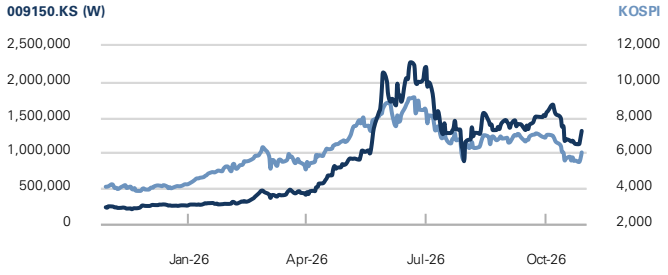
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.5	58.7	25.2	15.1
P/B (X)	1.3	9.2	6.8	4.9
FCF yield (%)	2.1	0.7	(1.0)	3.4
EV/EBITDAR (X)	6.7	29.7	14.5	8.5
EV/EBITDA (excl. leases) (X)	6.7	30.0	14.6	8.5
CROCI (%)	10.5	19.5	22.4	29.8
ROE (%)	7.7	16.6	31.1	37.7
Net debt/equity (%)	(4.1)	(1.0)	8.3	(6.4)
Net debt/equity (excl. leases) (%)	(4.9)	(2.0)	7.2	(7.4)
Interest cover (X)	12.3	18.0	37.0	61.6
Days inventory outst, sales	75.2	59.6	45.3	39.5
Receivable days	51.3	48.9	42.4	41.3
Days payable outstanding	23.1	23.9	25.2	25.7
DuPont ROE (%)	7.2	15.1	26.4	31.7
Turnover (X)	0.8	0.8	0.9	1.0
Leverage (X)	1.5	1.6	1.5	1.3
Gross cash invested (ex cash) (W)	18,847.0	22,604.6	29,445.4	35,726.4
Average capital employed (W)	8,947.7	10,097.6	13,382.5	17,466.0
BVPS (W)	126,110	142,473	190,940	266,341

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	9.9	27.3	40.3	35.0
EBITDA growth	16.7	81.3	107.1	66.9
EPS growth	4.0	138.0	133.2	66.4
DPS growth	32.0	135.7	132.1	66.2
EBIT margin	8.1	15.8	25.6	31.2
EBITDA margin	16.2	23.1	34.2	42.2
Net income margin	6.3	11.7	19.4	23.9

Price Performance



	3m	6m	12m
Absolute	17.2%	55.7%	462.9%
Rel. to the KOSPI	17.5%	71.9%	275.5%

Source: FactSet. Price as of 28 Oct 2026 close.

Income Statement (W bn)

	12/25	12/26E	12/27E	12/28E
Total revenue	11,314.5	14,399.2	20,205.9	27,278.4
Cost of goods sold	(9,037.1)	(10,454.4)	(12,298.0)	(14,791.3)
SG&A	(705.4)	(858.2)	(1,844.4)	(3,000.6)
R&D	(658.7)	(818.6)	(893.1)	(966.7)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**1,838.0**	**3,332.1**	**6,900.6**	**11,519.8**
Depreciation & amortization	(924.7)	(1,064.1)	(1,730.1)	(2,999.9)
EBIT	**913.3**	**2,268.1**	**5,170.5**	**8,519.9**
Net interest inc./(exp.)	(3.9)	(28.2)	(47.0)	(41.1)
Income/(loss) from associates	0.7	(14.2)	(8.0)	(8.0)
Pre-tax profit	**895.8**	**2,211.1**	**5,123.5**	**8,478.8**
Provision for taxes	(163.6)	(485.2)	(1,152.8)	(1,907.7)
Minority interest	(24.9)	(45.5)	(52.0)	(52.0)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**707.4**	**1,680.4**	**3,918.7**	**6,519.0**
Post-tax exceptionals	(1.2)	0.2	0.0	0.0
Net inc. (post-exceptionals)	**706.1**	**1,680.6**	**3,918.7**	**6,519.0**
EPS (basic, pre-except) (W)	**9,363**	**22,243**	**51,871**	**86,291**
EPS (diluted, pre-except) (W)	**9,363**	**22,243**	**51,871**	**86,291**
EPS (basic, post-except) (W)	**9,347**	**22,246**	**51,871**	**86,291**
EPS (diluted, post-except) (W)	**9,347**	**22,246**	**51,871**	**86,291**
DPS (W)	2,376	5,600	13,000	21,600
Div. payout ratio (%)	25.4	25.2	25.1	25.0

Balance Sheet (W bn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	2,701.2	3,840.4	2,554.0	5,135.2
Accounts receivable	1,792.6	2,064.2	2,634.6	3,543.8
Inventory	2,413.0	2,285.7	2,728.6	3,169.4
Other current assets	190.9	265.5	265.5	265.5
Total current assets	**7,097.6**	**8,455.9**	**8,182.7**	**12,114.0**
Net PP&E	6,221.6	8,688.1	–	15,084.4
Net intangibles	152.4	166.1	174.3	172.2
Total investments	138.8	165.2	157.2	149.2
Other long-term assets	985.4	192.3	–	192.3
Total assets	**14,595.9**	**17,667.6**	**21,719.9**	**27,712.2**
Accounts payable	641.0	727.3	971.7	1,109.3
Short-term debt	2,028.1	3,114.5	3,114.5	3,114.5
Short-term lease liabilities	23.3	32.6	48.8	56.6
Other current liabilities	1,127.1	1,432.2	1,416.0	1,408.2
Total current liabilities	**3,819.5**	**5,306.6**	**5,551.0**	**5,688.6**
Long-term debt	188.4	502.4	502.4	502.4
Long-term lease liabilities	58.6	81.8	122.5	142.0
Other long-term liabilities	732.0	670.8	724.5	811.3
Total long-term liabilities	**979.1**	**1,255.0**	**1,349.5**	**1,455.8**
Total liabilities	**4,798.6**	**6,561.6**	**6,900.5**	**7,144.4**
Preferred shares	14.5	14.5	14.5	14.5
Total common equity	9,527.2	10,763.5	14,425.0	20,121.3
Minority interest	**255.6**	**327.9**	**379.9**	**431.9**
Total liabilities & equity	**14,595.9**	**17,667.6**	**21,719.9**	**27,712.2**
Net debt, adjusted	(470.2)	(208.9)	1,077.6	(1,503.7)

Cash Flow (W bn)

	12/25	12/26E	12/27E	12/28E
Net income	706.1	1,680.6	3,918.7	6,519.0
D&A add-back	924.7	1,064.1	1,730.1	2,999.9
Minority interest add-back	24.9	45.5	52.0	52.0
Net (inc)/dec working capital	(425.4)	(58.1)	(768.9)	(1,212.4)
Other operating cash flow	259.8	1,225.1	102.5	114.3
Cash flow from operations	**1,490.1**	**3,957.1**	**5,034.4**	**8,472.9**
Capital expenditures	(1,192.1)	(3,205.9)	(6,000.0)	(5,000.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	(30.8)	(103.8)	(119.1)	(139.8)
Cash flow from investing	**(1,222.9)**	**(3,309.7)**	**(6,119.1)**	**(5,139.8)**
Repayment of lease liabilities	(27.1)	(33.9)	(52.7)	(66.3)
Dividends paid (common & pref)	(137.7)	(179.5)	(423.1)	(982.1)
Inc/(dec) in debt	636.4	1,400.5	0.0	0.0
Other financing cash flows	(50.9)	(695.3)	274.0	296.7
Cash flow from financing	**420.7**	**491.8**	**(201.7)**	**(751.8)**
Total cash flow	**687.9**	**1,139.2**	**(1,286.4)**	**2,581.3**
Free cash flow	270.9	717.3	(1,018.3)	3,406.5

Source: Company data, Goldman Sachs Research estimates.

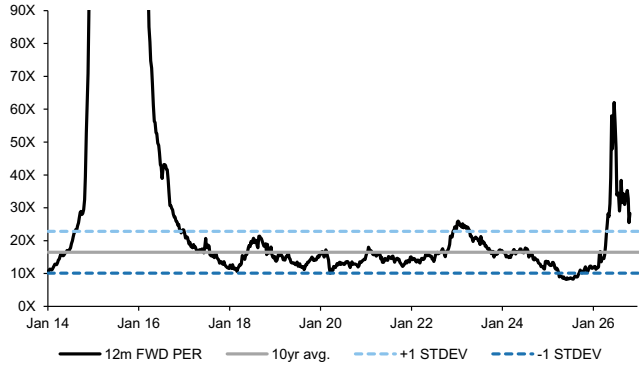
and network switches. We believe the ongoing shift toward advanced packaging requiring larger substrates and tight supply due to limited supply increase are creating a favorable pricing environment and providing room for further ASP increases for SEMCO's FC-BGA. We also believe recent news regarding NVIDIA and Tesla's W3.7tn investment on SEMCO's FC-BGA production line in Sejong also highlights the increasingly favorable market dynamics. We also expect BGA growth to remain solid, supported by demand for AI data center memory and price adjustments reflecting higher raw material costs and tight supply-demand conditions. As such, we raise our substrate solution OP estimates by 2%/6%/4% for 2026E/2027E/2028E.

- **Raise 4Q26E OP on the back of better-than-expected MLCC demand**: We raise our 4Q26 OP estimate by 13% to W856bn from W758bn, mainly reflecting higher-than-expected MLCC revenue and OP, partially offset by weaker camera module OP. For 4Q26E, we continue to see upside potential for MLCCs, supported by continued ASP increases on robust AI demand and a growing mix of high-margin products. Meanwhile, we lower our camera module estimates to reflect unfavorable F/X movements and weaker end-device demand.

Raise earnings estimates and TP to W2.5mn; reiterate Buy rating

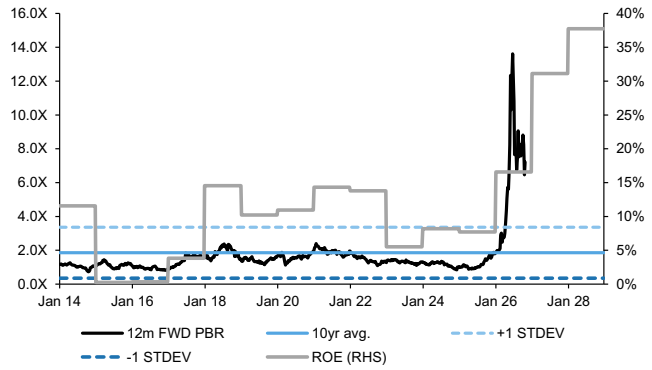
We raise our 2026E/2027E/2028E EPS estimate by 1%/2%/2% mainly reflecting stronger-than-expected substrate and component solution OP. As a result, we raise our 12m TP to W2.5mn (from W2.4mn) and reiterate our Buy rating. Key downside risks include a stronger-than-expected industry MLCC supply increase and weaker-than-expected demand for AI server/auto/smartphones.

Exhibit 1: SEMCO shares are trading at 28.3X 12m FWD P/E
SEMCO 12m FWD P/E



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 2: SEMCO shares are trading at 7.2X 12m FWD P/B with 2026E/2027E ROEs of 17%/31%
SEMCO 12m FWD P/B vs. ROE



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 3: SEMCO earnings revisions

	Revised				Previous				Changes (%)			
(W bn)	3Q26	FY26E	FY27E	FY28E	3Q26E	FY26E	FY27E	FY28E	3Q26	FY26E	FY27E	FY28E
Sales	**3,763**	**14,399**	**20,206**	**27,278**	**3,866**	**14,452**	**19,588**	**26,215**	***-2.7%***	***-0.4%***	***3.2%***	***4.1%***
Substrate Solution	**939**	**3,433**	**4,966**	**6,482**	**940**	**3,527**	**4,816**	**6,299**	***-0.1%***	***-2.7%***	***3.1%***	***2.9%***
Package	939	3,433	4,966	6,482	940	3,527	4,816	6,299	*-0.1%*	*-2.7%*	*3.1%*	*2.9%*
Component Solution	**1,883**	**7,131**	**11,591**	**16,984**	**2,016**	**7,109**	**11,123**	**16,103**	***-6.6%***	***0.3%***	***4.2%***	***5.5%***
MLCC	1,732	6,571	10,257	14,775	1,864	6,547	9,785	13,889	*-7.1%*	*0.4%*	*4.8%*	*6.4%*
Others	151	560	1,333	2,209	152	562	1,338	2,215	*-0.7%*	*-0.4%*	*-0.3%*	*-0.2%*
Module Solution	**941**	**3,835**	**3,650**	**3,812**	**911**	**3,816**	**3,650**	**3,812**	***3.3%***	***0.5%***	***0.0%***	***0.0%***
Camera module	911	3,805	3,650	3,812	911	3,816	3,650	3,812	*0.0%*	*-0.3%*	*0.0%*	*0.0%*
Operating profit	**691**	**2,268**	**5,170**	**8,520**	**670**	**2,149**	**4,824**	**7,911**	***3.1%***	***5.5%***	***7.2%***	***7.7%***
Substrate Solution	**208**	**609**	**1,407**	**2,091**	**191**	**597**	**1,329**	**2,002**	***8.7%***	***1.9%***	***5.9%***	***4.4%***
Package	208	609	1,407	2,091	191	597	1,329	2,002	*8.7%*	*1.9%*	*5.9%*	*4.4%*
Component Solution	**447**	**1,494**	**3,629**	**6,273**	**443**	**1,375**	**3,360**	**5,753**	***1.0%***	***8.7%***	***8.0%***	***9.0%***
MLCC	426	1,430	3,347	5,668	422	1,310	3,077	5,148	*1.0%*	*9.1%*	*8.8%*	*10.1%*
Others	21	64	282	604	21	65	283	605	*-0.7%*	*-0.5%*	*-0.2%*	*-0.1%*
Module Solution	**36**	**165**	**134**	**156**	**36**	**177**	**134**	**156**	***0.2%***	***-6.8%***	***0.0%***	***0.0%***
Camera module	36	165	134	156	36	177	134	156	*0.2%*	*-6.8%*	*0.0%*	*0.0%*
OP Margin (%)	***18.4%***	***15.8%***	***25.6%***	***31.2%***	***17.3%***	***14.9%***	***24.6%***	***30.2%***				
Substrate Solution	***22.1%***	***17.7%***	***28.3%***	***32.3%***	***20.4%***	***16.9%***	***27.6%***	***31.8%***				
Package	*22.1%*	*17.7%*	*28.3%*	*32.3%*	*20.4%*	*16.9%*	*27.6%*	*31.8%*				
Component Solution	***23.8%***	***21.0%***	***31.3%***	***36.9%***	***22.0%***	***19.3%***	***30.2%***	***35.7%***				
MLCC	*24.6%*	*21.8%*	*32.6%*	*38.4%*	*22.6%*	*20.0%*	*31.4%*	*37.1%*				
Others	*14.0%*	*11.5%*	*21.2%*	*27.4%*	*14.0%*	*11.5%*	*21.1%*	*27.3%*				
Module Solution	***3.8%***	***4.3%***	***3.7%***	***4.1%***	***3.9%***	***4.6%***	***3.7%***	***4.1%***				
Camera module	*3.9%*	*4.3%*	*3.7%*	*4.1%*	*3.9%*	*4.6%*	*3.7%*	*4.1%*				
Pre-tax profit	**610**	**2,211**	**5,123**	**8,479**	**664**	**2,180**	**4,970**	**8,230**	***-8.1%***	***1.4%***	***3.1%***	***3.0%***
Net profit	**469**	**1,681**	**3,919**	**6,519**	**513**	**1,671**	**3,848**	**6,375**	***-8.7%***	***0.6%***	***1.8%***	***2.3%***
EPS (W)	6,204	22,246	51,871	86,291	6,795	22,123	50,930	84,378	*-8.7%*	*0.6%*	*1.8%*	*2.3%*

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: SEMCO earnings summary

(W bn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**3,209**	**3,457**	**3,763**	**3,970**	**4,398**	**4,735**	**5,345**	**5,727**	**11,314**	**14,399**	**20,206**	**27,278**
Substrate Solution	**725**	**772**	**939**	**998**	**1,083**	**1,164**	**1,317**	**1,401**	**2,302**	**3,433**	**4,966**	**6,482**
Package	725	772	939	998	1,083	1,164	1,317	1,401	2,302	3,433	4,966	6,482
Component Solution	**1,409**	**1,649**	**1,883**	**2,190**	**2,412**	**2,688**	**3,073**	**3,418**	**5,198**	**7,131**	**11,591**	**16,984**
MLCC	1,282	1,517	1,732	2,039	2,158	2,381	2,713	3,005	4,705	6,571	10,257	14,775
Others	127	132	151	151	254	307	360	413	493	560	1,333	2,209
Module Solution	**1,076**	**1,036**	**941**	**782**	**903**	**884**	**955**	**907**	**3,814**	**3,835**	**3,650**	**3,812**
Camera module	1,076	1,036	911	782	903	884	955	907	3,814	3,805	3,650	3,812
Gross profit	**660**	**844**	**1,068**	**1,372**	**1,580**	**1,780**	**2,148**	**2,400**	**2,277**	**3,945**	**7,908**	**12,487**
Operating profit	**281**	**440**	**691**	**856**	**1,008**	**1,165**	**1,399**	**1,598**	**913**	**2,268**	**5,170**	**8,520**
Substrate Solution	**55**	**105**	**208**	**241**	**277**	**317**	**384**	**429**	**135**	**609**	**1,407**	**2,091**
Package	55	105	208	241	277	317	384	429	135	609	1,407	2,091
Component Solution	**165**	**274**	**447**	**608**	**690**	**815**	**976**	**1,148**	**609**	**1,494**	**3,629**	**6,273**
MLCC	158	260	426	585	646	754	897	1,050	580	1,430	3,347	5,668
Others	7	14	21	23	44	61	79	99	29	64	282	604
Module Solution	**60**	**61**	**36**	**8**	**41**	**33**	**40**	**21**	**169**	**165**	**134**	**156**
Camera module	60	61	36	8	41	33	40	21	169	165	134	156
Pre-tax profit	**316**	**433**	**610**	**852**	**1,003**	**1,156**	**1,384**	**1,580**	**896**	**2,211**	**5,123**	**8,479**
Net income	**249**	**316**	**469**	**647**	**764**	**883**	**1,060**	**1,212**	**706**	**1,681**	**3,919**	**6,519**
EPS (W)	**3,298**	**4,179**	**6,204**	**8,565**	**10,118**	**11,688**	**14,029**	**16,037**	**9,347**	**22,246**	**51,871**	**86,291**
Margins (%)												
Gross margin	21	24	28	35	36	38	40	42	20	27	39	46
Operating margin	**9**	**13**	**18**	**22**	**23**	**25**	**26**	**28**	**8**	**16**	**26**	**31**
Substrate Solution	**8**	**14**	**22**	**24**	**26**	**27**	**29**	**31**	**6**	**18**	**28**	**32**
Package	8	14	22	24	26	27	29	31	6	18	28	32
Component Solution	**12**	**17**	**24**	**28**	**29**	**30**	**32**	**34**	**12**	**21**	**31**	**37**
MLCC	12	17	25	29	30	32	33	35	12	22	33	38
Others	6	10	14	15	17	20	22	24	6	11	21	27
Module Solution	**6**	**6**	**4**	**1**	**5**	**4**	**4**	**2**	**4**	**4**	**4**	**4**
Camera module	6	6	4	1	5	4	4	2	4	4	4	4
Net margin	**8**	**9**	**12**	**16**	**17**	**19**	**20**	**21**	**6**	**12**	**19**	**24**

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Samsung Electro-Mechanics

Valuation: We are Buy rated on Samsung Electro-Mechanics with a SOTP-based (2027E-2028E EV/EBITDA driven) 12-month TP of W2,500,000.

Key downside risks: A stronger-than-expected industry MLCC supply increase and

weaker-than-expected demand for AI server/auto/smartphones.

Investment Thesis - Samsung Electro-Mechanics

Samsung Electro-Mechanics (SEMCO) is a leading global electronic component supplier with the second-largest market share in multi-layer ceramic capacitor (MLCC). We expect the 1) solid MLCC demand from AI server and auto and 2) strong FC-BGA growth driven by AI customer expansion will lead to solid OP yoy growth and are Buy rated on the name.

Disclosure Appendix

Reg AC

We, Giuni Lee and Daiki Takayama, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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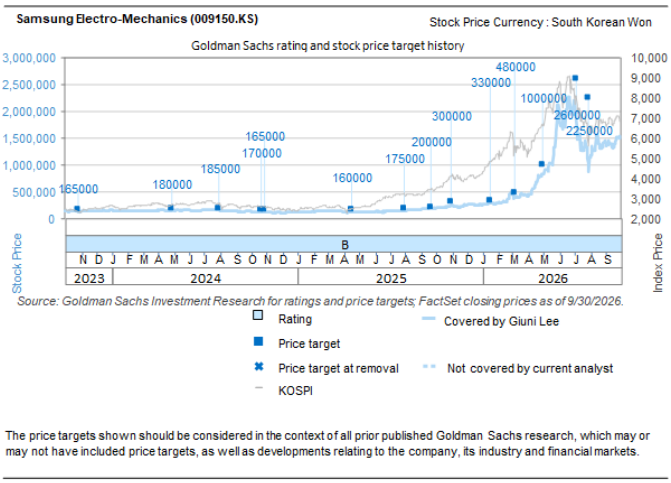
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Target price history table(s)

Samsung Electro-Mechanics (009150.KS)

Date of report	Target price (W)	Closing price (W)
09-Oct-26	2,400,000	1,546,000
30-Jul-26	2,250,000	879,000
05-Jul-26	2,600,000	1,989,000
30-Apr-26	1,000,000	832,000
06-Mar-26	480,000	404,500
16-Jan-26	330,000	289,500
31-Oct-25	300,000	245,000
21-Sep-25	200,000	197,700
31-Jul-25	175,000	148,700
18-Apr-25	160,000	121,000
29-Oct-24	165,000	120,200
21-Oct-24	170,000	123,000
31-Jul-24	185,000	159,600
29-Apr-24	180,000	151,300

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